# Meta Platforms Inc

## Major AI Acceleration, Revenue Acceleration, and Expense Acceleration

**Overweight**

**META, META US**
Price (28 Jan 26):$668.73
▲**Price Target (Dec-26):$825.00**
Prior (Dec-26):$800.00

**Internet - Large Cap / Mid & Small Cap**

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**Quarterly Forecasts (FYE Dec)**

Adj. EPS ($)

| | 2025A | 2026E | 2027E |
|---|---|---|---|
| Q1 | 7.17 | 8.25 | |
| Q2 | 8.11 | 8.67 | |
| Q3 | 8.69 | 8.89 | |
| Q4 | 9.97 | 10.34 | |
| FY | 33.93 | 36.16 | 40.60 |

**Style Exposure**

| Quant Factors | Current %Rank | Hist %Rank (1=Top) 6M | 1Y | 3Y | 5Y |
|---|---|---|---|---|---|
| Value | 70 | 81 | 80 | 57 | 65 |
| Growth | 70 | 81 | 65 | 64 | 48 |
| Momentum | 68 | 29 | 23 | 74 | 62 |
| Quality | 21 | 7 | 1 | 8 | 8 |
| Low Vol | 36 | 40 | 40 | 72 | 29 |
| ESGQ | 91 | 90 | 95 | 95 | 99 |

**We came into 4Q earnings emphasizing 3 things Meta needed to do to drive the stock higher: 1)** show the path to 2026 revenue growth well into the 20's% range; **2)** emphasize financial guardrails around operating income and EPS growth, and/or positive FCF; & **3)** provide guideposts on LLM progress and the path to a frontier model. **We think Meta did at least the first 2 of these—or maybe 2.5—while still leaving plenty of questions on reaching the LLM frontier.** Strong upside to the 1Q revenue outlook with growth pushing into the 30's% suggests 2026 revenue that offsets the outlook for total expenses ($162B-$169B) and capex ($115B-$135B), both above already elevated expectations. We believe 4Q earnings *could* put Meta back on track toward earning the right to invest, as evidenced by the outsized revenue growth in 1Q. Importantly, Meta continues to drive strong AI ad improvements across engagement and monetization as it stacks new products and looks forward to incorporating LLMs and rebooting ranking and recommendation models in the medium-term. Meta also established bottom-line guardrails w/operating income growth in 2026, and Reality Labs operating losses similar this year to last year, representing a peak in 2026. On model development, we believe Meta tempered expectations for a frontier LLM in 1H26, instead emphasizing first models that will be "good," showing the trajectory toward the frontier over the course of the year. Mark also emphasized that Meta is seeing a major AI acceleration with improvement in agents that will unlock new products and change how people work, with 2026 a big year for delivering personal superintelligence. **Meta shares traded up 7% after-market, but we do expect some pushback that could make those gains tough to maintain.** Our revenue and expenses both shift higher, but our GAAP EPS comes down 3-4% in 2026/2027, partly due to removing share repurchases and incorporating the 4Q debt raise. Meta indicated that 1Q26 revenue growth will represent peak growth for the year, and we project deceleration through the quarters, particularly given tougher comps in 2H. Our 2026 FCF projection remains modestly in the black at positive $5B, but even as the company expects to self-finance its infra investments this year, we believe it could shift to net debt over the next few years. Lastly, timing for a frontier model could be pushed out, though we recognize the industry continues to rapidly innovate, w/heavy anticipation for Blackwell-trained models over the next few months. **We maintain our Overweight rating & raise our Dec 2026 PT to $825 based on 26x 2027E GAAP EPS of $31.51.**

### KEY THOUGHTS AFTER CALLS WITH MANAGEMENT

- **Continued Headroom in AI-Driven Ad Improvements.** Like 2025, we expect 2026 revenue growth to continue to be driven by a wide range of AI ad improvements that are increasing both engagement and monetization. While there are far too many to list, a few that stand out include: **1)** Instagram Reels watch time up 30%+ Y/Y in the US; **2)** FB video time growing double-digits Y/Y in the US; **3)** 7% lift in organic feed and video posts on FB driving the largest quarterly revenue impact from FB product launches in the past 2 years;

Sources for: Style Exposure – J.P. Morgan Global Markets Strategy; all other tables are company data and J.P. Morgan estimates.

**See page 13 for analyst certification and important disclosures.**

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## Price Performance

| | YTD | 1m | 3m | 12m |
|---|---|---|---|---|
| Abs | 1.3% | 0.8% | -11.0% | -0.8% |
| Rel | -0.6% | 0.1% | -12.3% | -15.8% |

## Company Data

| | |
|---|---|
| Shares O/S (mn) | 2,565 |
| 52-week range ($) | 796.25-479.80 |
| Market cap ($ mn) | 1,715,292.00 |
| Exchange rate | 1.00 |
| Free float (%) | 99.9% |
| 3M ADV (mn) | 19.09 |
| 3M ADV ($ mn) | 12,287.9 |
| Volatility (90 Day) | 33 |
| Index | S&P 500 |
| BBG ANR (Buy \| Hold \| Sell) | 74\|6\|1 |

## Key Metrics (FYE Dec)

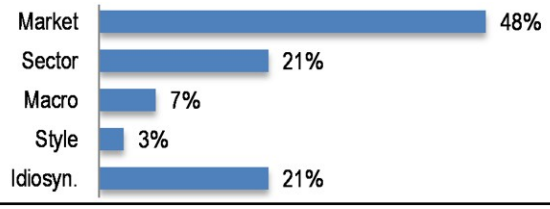
| $ in millions | FY25A | FY26E | FY27E |
|---|---|---|---|
| **Financial Estimates** | | | |
| Revenue | 200,965 | 252,261 | 294,274 |
| Adj. EBIT | 105,212 | 113,388 | 124,307 |
| Adj. EBITDA | 122,683 | 142,235 | 162,147 |
| Adj. net income | 87,339 | 92,980 | 104,181 |
| Adj. EPS | 33.93 | 36.16 | 40.60 |
| BBG EPS | 29.61 | 33.67 | 38.79 |
| Cashflow from operations | 115,800 | 140,954 | 176,387 |
| FCFF | 46,978 | 9,992 | 10,556 |
| **Margins and Growth** | | | |
| Revenue Growth Y/Y (%) | 22.2% | 25.5% | 16.7% |
| EBIT margin | 52.4% | 44.9% | 42.2% |
| EBIT Growth Y/Y (%) | 19.7% | 7.8% | 9.6% |
| EBITDA margin | 61.0% | 56.4% | 55.1% |
| EBITDA Growth Y/Y (%) | 20.0% | 15.9% | 14.0% |
| Net margin | 43.5% | 36.9% | 35.4% |
| Adj. EPS growth | 22.9% | 6.6% | 12.3% |
| **Ratios** | | | |
| Adj. tax rate | 19.0% | 19.0% | 19.0% |
| Interest cover | 114.3 | 58.1 | 68.9 |
| Net debt/Equity | NM | NM | NM |
| Net debt/EBITDA | NM | NM | NM |
| ROE | 43.7% | 35.3% | 29.0% |
| **Valuation** | | | |
| FCFF yield | 2.7% | 0.6% | 0.6% |
| Dividend yield | - | - | - |
| EV/Revenue | 8.7 | 6.9 | 5.9 |
| EV/EBITDA | 14.2 | 12.2 | 10.7 |
| Adj. P/E | 19.7 | 18.5 | 16.5 |

## Summary Investment Thesis and Valuation

### Investment Thesis

We believe Meta's virtual ownership of the social graph, strong competitive moat, and focus on the user experience position it to become an enduring blue-chip company built for the long term. Meta is in rarefied air across the combination of scale, growth, and profitability, as the company's massive reach and engagement continue to drive network effects, and its targeting abilities provide significant value to advertisers. Meta is focused on the two big tech waves of AI and Metaverse, and it will spend into those major growth opportunities while also remaining disciplined. We recognize these L-T ambitions are driving increasing infrastructure investments, but we project outsized revenue growth in '26, and Meta has a strong track record of driving returns on increased spending. We increase our December 2026 PT from $800 to $825 based on ~26x our 2027E GAAP EPS of $31.51, further supported by our DCF model.

## Performance Drivers




| Factors | 6M Corr | 1Y Corr |
|---|---|---|
| **Market:** MSCI US | 0.81 | 0.73 |
| **Sect:** Telecom Services | 0.66 | 0.66 |
| **Ind:** Media | 0.66 | 0.66 |
| **Macro:** | | |
| Non-Energy Commodity | -0.39 | -0.15 |
| Credit Spread | 0.23 | 0.10 |
| US Dollar | 0.09 | 0.07 |
| **Quant Styles:** | | |
| DivYld | -0.51 | -0.40 |
| Growth | 0.25 | 0.32 |
| Value | -0.23 | -0.31 |

Source: J.P. Morgan Global Markets Strategy for Performance Drivers; company data, Bloomberg Finance L.P. and J.P. Morgan estimates for all other tables. Note: Price history may not be complete or exact.

**4)** 3% increase in conversion rates across IG Feed, Stories, & Reels driven by a new runtime model; & **5)** new attribution model driving a 24% increase in incremental conversions & already achieving a multi-billion dollar run-rate. **Importantly, all of the improvements in Andromeda, GEM, & Lattice are stacking on top of each other and providing Meta with greater confidence in future growth.** LLMs will soon drive recommendation improvements, and Meta will also benefit from new, larger GPU clusters, having doubled the number of GPUs training GEM in 4Q.

- **Expenses and Capex Both Above Expectations.** The outlook for 2026 total expenses of $162B-$169B (+38-44%) came in above our $155B-$160B expectation for the guide. There's no surprise in infra costs and employee comp as the two largest drivers. **But within infra, we believe 3rd-party cloud spend is elevated as Meta partners w/both hyperscalers and neo-clouds to scale near-term by bringing increased capacity online quickly.** 2026 capex at $115B-$135B (+65-94%) was also above our $115B-$125B expectation, which pressures FCF toward the high end. Meta indicated that it will self-fund infra investments in 2026, but will continue to periodically turn to prudent amounts of cost-efficient external financing.
- **Notable Productivity Improvements.** Mark emphasized that 2026 is a year of major AI acceleration, including products that change the way people work. Meta saw meaningful lift in AI-driven productivity in 4Q including a 30% increase in output per engineer, largely through the adoption of agentic coding. Power users of AI coding tools are also seeing their output increase 80% Y/Y, with acceleration expected in coming months.

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# Summary of the Quarter

**Figure 1: META 4Q25 Results vs. J.P. Morgan Estimates**

$ in millions, except per share data

| Meta Platforms | 4Q25 | | | |
|---|---|---|---|---|
| | JPME | Actuals | Diff (%) | Guidance |
| **Family Daily Active People** | **3,585** | **3,580** | **-0.1%** | |
| **Total Revenue** | **58,687** | $59,893 | 2.1% | **$56-$59B** |
| Advertising Revenue | 56,882 | $58,137 | 2.2% | |
| **Operating Income** | **23,827** | $24,745 | 3.9% | |
| % Margin | 40.6% | 41.3% | 72bps | |
| **Adjusted EBITDA** | **35,350** | $36,107 | 2.1% | |
| % Margin | 60.2% | 60.3% | 5bps | |
| **GAAP EPS** | **$8.42** | $8.88 | 5.4% | |
| ***Y/Y Growth:*** | | | | |
| *Revenue* | *21%* | *24%* | 249bps | |
| *FXN Ad Revenue* | *21%* | *23%* | 261bps | |
| *Advertising* | *22%* | *24%* | 268bps | |
| *EBITDA* | *10%* | *12%* | 235bps | |
| *Operating Income* | *2%* | *6%* | 393bps | |
| *GAAP EPS* | *5%* | *11%* | 569bps | |

Source: Company reports and J.P. Morgan estimates.

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# Meta Platforms Estimate Changes

## Figure 2: Adjusting J.P. Morgan Estimates, 1Q26E-2027E

$ in millions, except per share data

| META | 1Q26E | | 2Q26E | | 3Q26E | | 4Q26E | | 2026E | | 2027E | |
|---|---|---|---|---|---|---|---|---|---|---|---|---|
| ($ in millions) | Old | New | Old | New | Old | New | Old | New | Old | New | Old | New |
| **Family Daily Active People** | 3,629 | 3,629 | 3,664 | 3,664 | 3,710 | 3,710 | 3,746 | 3,741 | 3,746 | 3,741 | 3,851 | 3,846 |
| *Y/Y Growth* | *2.4%* | *2.4%* | *2.2%* | *2.2%* | *2.2%* | *2.2%* | *2.0%* | *2.0%* | *2.0%* | *2.0%* | *1.5%* | *1.5%* |
| % chg vs. old | | 0.0% | | 0.0% | | 0.0% | | -0.1% | | -0.1% | | -0.1% |
| **Total Revenue** | 51,119 | 55,950 | 55,264 | 60,029 | 58,816 | 63,209 | 68,152 | 73,073 | 233,351 | 252,261 | 263,828 | 294,274 |
| *Y/Y Growth* | *20.8%* | *32.2%* | *16.3%* | *26.3%* | *14.8%* | *23.4%* | *16.1%* | *22.0%* | *16.8%* | *25.5%* | *13.1%* | *16.7%* |
| *FXN Y/Y Growth* | *17.5%* | *28.1%* | *15.5%* | *24.4%* | *14.9%* | *22.3%* | *16.2%* | *20.8%* | *16.0%* | *23.6%* | *13.1%* | *16.7%* |
| % chg vs. old | | 9.5% | | 8.6% | | 7.5% | | 7.2% | | 8.1% | | 11.5% |
| **Advertising Revenue** | 49,812 | 54,668 | 54,015 | 58,798 | 57,313 | 61,774 | 65,908 | 70,892 | 227,047 | 246,132 | 255,903 | 286,657 |
| *Y/Y Growth* | *20.3%* | *32.1%* | *16.0%* | *26.3%* | *14.4%* | *23.3%* | *15.9%* | *21.9%* | *16.5%* | *25.5%* | *12.7%* | *16.5%* |
| *FXN Y/Y Growth* | *16.9%* | *27.9%* | *15.2%* | *24.3%* | *14.5%* | *22.2%* | *15.9%* | *20.6%* | *15.6%* | *23.5%* | *12.7%* | *16.5%* |
| % chg vs. old | | 9.7% | | 8.9% | | 7.8% | | 7.6% | | 8.4% | | 12.0% |
| **Reality Labs** | 466 | 466 | 403 | 403 | 503 | 503 | 1,082 | 1,060 | 2,454 | 2,432 | 2,650 | 2,626 |
| *Y/Y Growth* | *13.0%* | *13.0%* | *9.0%* | *9.0%* | *7.0%* | *7.0%* | *11.0%* | *11.0%* | *10.2%* | *10.2%* | *8.0%* | *8.0%* |
| % chg vs. old | | 0.0% | | 0.0% | | 0.0% | | -2.0% | | -0.9% | | -0.9% |
| **Adjusted EBITDA** | 29,610 | 31,439 | 32,283 | 33,604 | 34,465 | 35,783 | 39,438 | 41,409 | 135,797 | 142,235 | 155,501 | 162,147 |
| *Y/Y Growth* | *14.9%* | *22.0%* | *8.7%* | *13.2%* | *10.7%* | *15.0%* | *11.6%* | *14.7%* | *11.4%* | *15.9%* | *14.5%* | *14.0%* |
| Margin (%) | 57.9% | 56.2% | 58.4% | 56.0% | 58.6% | 56.6% | 57.9% | 56.7% | 58.2% | 56.4% | 58.9% | 55.1% |
| % chg vs. old | | 6.2% | | 4.1% | | 3.8% | | 8.0% | | 4.7% | | 4.3% |
| **GAAP COGS and Opex** | 33,432 | 36,927 | 36,474 | 40,640 | 38,760 | 42,539 | 43,958 | 47,790 | 152,624 | 167,896 | 172,939 | 203,493 |
| *Y/Y Growth* | *35.0%* | *49.1%* | *34.7%* | *50.1%* | *26.2%* | *38.5%* | *26.1%* | *36.0%* | *30.0%* | *42.7%* | *13.3%* | *21.2%* |
| % chg vs. old | | 10.5% | | 11.4% | | 9.8% | | 8.7% | | 10.0% | | 17.7% |
| **GAAP Operating Income** | 17,687 | 19,023 | 18,790 | 19,389 | 20,056 | 20,669 | 24,194 | 25,283 | 80,727 | 84,365 | 90,889 | 90,780 |
| *Y/Y Growth* | *0.8%* | *8.4%* | *-8.1%* | *-5.1%* | *-2.3%* | *0.7%* | *1.5%* | *2.2%* | *-2.0%* | *1.3%* | *12.6%* | *7.6%* |
| Margin (%) | 34.6% | 34.0% | 34.0% | 32.3% | 34.1% | 32.7% | 35.5% | 34.6% | 34.6% | 33.4% | 34.5% | 30.8% |
| % chg vs. old | | 7.6% | | 3.2% | | 3.1% | | 4.5% | | 4.5% | | -0.1% |
| **GAAP EPS** | $6.39 | $6.49 | $6.85 | $6.53 | $7.21 | $6.87 | $8.63 | $8.36 | $29.08 | $28.26 | $32.99 | $31.51 |
| *Y/Y Growth* | *-0.5%* | *1.0%* | *-4.0%* | *-8.4%* | *584.7%* | *552.0%* | *2.5%* | *-5.8%* | *26.3%* | *20.3%* | *13.4%* | *11.5%* |
| % chg vs. old | | 1.6% | | -4.7% | | -4.8% | | -3.1% | | -2.8% | | -4.5% |
| **Capex** | 22,492 | 27,975 | 27,632 | 30,015 | 29,408 | 34,765 | 35,780 | 40,190 | 115,312 | 132,944 | 134,552 | 167,736 |
| *Y/Y Growth* | *73.8%* | *116.2%* | *67.1%* | *81.5%* | *56.2%* | *84.6%* | *52.4%* | *88.0%* | *60.6%* | *90.8%* | *16.7%* | *26.2%* |
| % chg vs. old | | 24.4% | | 8.6% | | 18.2% | | 12.3% | | 15.3% | | 24.7% |
| **FCF** | 5,958 | 1,021 | 2,250 | 460 | 2,648 | 1,451 | 3,078 | 2,061 | 13,934 | 4,994 | 16,818 | 5,635 |
| *Y/Y Growth* | *-42.3%* | *-90.1%* | *-73.7%* | *-94.6%* | *-75.1%* | *-86.3%* | *-73.4%* | *-85.4%* | *-66.1%* | *-88.5%* | *20.7%* | *12.8%* |
| % chg vs. old | | -82.9% | | -79.5% | | -45.2% | | -33.0% | | -64.2% | | -66.5% |

Source: J.P. Morgan estimates.

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# Model Pages

## Figure 3: Meta Platforms Income Statement

$ in millions, except per share data

| | 2022A | 2023A | 2024A | 1Q25A | 2Q25A | 3Q25A | 4Q25A | 2025A | 1Q26E | 2Q26E | 3Q26E | 4Q26E | 2026E | 2027E |
|---|---|---|---|---|---|---|---|---|---|---|---|---|---|---|
| **Revenue** | **116,609** | **134,902** | **164,501** | **42,314** | **47,516** | **51,242** | **59,893** | **200,965** | **55,950** | **60,029** | **63,209** | **73,073** | **252,261** | **294,274** |
| Cost of Revenue | 22,986 | 25,264 | 29,076 | 7,301 | 8,213 | 8,917 | 10,518 | 34,949 | 9,791 | 10,805 | 11,441 | 13,372 | 45,410 | 54,149 |
| **Gross Profit** | **93,623** | **109,638** | **135,425** | **35,013** | **39,303** | **42,325** | **49,375** | **166,016** | **46,159** | **49,224** | **51,768** | **59,701** | **206,851** | **240,124** |
| **Operating Expenses:** | | | | | | | | | | | | | | |
| Marketing and Sales | 13,619 | 10,647 | 10,267 | 2,521 | 2,745 | 2,613 | 3,060 | 10,939 | 3,021 | 3,182 | 3,350 | 3,946 | 13,499 | 15,449 |
| Research and Development | 24,259 | 25,060 | 29,935 | 8,723 | 8,862 | 10,330 | 12,291 | 40,206 | 14,827 | 15,908 | 17,509 | 19,730 | 67,973 | 86,811 |
| General and Administrative | 10,198 | 9,700 | 8,763 | 2,067 | 2,421 | 3,292 | 3,389 | 11,169 | 2,965 | 3,362 | 3,413 | 3,873 | 13,613 | 15,302 |
| Stock-based Compensation | 11,991 | 14,027 | 16,690 | 4,147 | 4,834 | 5,555 | 5,890 | 20,426 | 6,322 | 7,384 | 6,827 | 6,869 | 27,401 | 31,782 |
| Restructuring Costs | 4,611 | 3,452 | 389 | 0 | 0 | 0 | 0 | 0 | 0 | 0 | 0 | 0 | 0 | 0 |
| **Total Operating Expenses** | **64,678** | **62,886** | **66,044** | **17,458** | **18,862** | **21,790** | **24,630** | **82,740** | **27,136** | **29,835** | **31,099** | **34,417** | **122,486** | **149,344** |
| **Total GAAP Expenses (COGS + Opex)** | **87,665** | **88,151** | **95,120** | **24,759** | **27,075** | **30,707** | **35,148** | **117,689** | **36,927** | **40,640** | **42,539** | **47,790** | **167,896** | **203,493** |
| **Operating Income** | **28,944** | **46,751** | **69,380** | **17,555** | **20,441** | **20,535** | **24,745** | **83,276** | **19,023** | **19,389** | **20,669** | **25,283** | **84,365** | **90,780** |
| **Non-GAAP Operating Income** | **46,774** | **65,545** | **87,868** | **22,121** | **25,646** | **26,464** | **30,980** | **105,212** | **25,801** | **27,170** | **27,896** | **32,521** | **113,388** | **124,307** |
| Interest Expense | (185) | (446) | (715) | (240) | (241) | (227) | (365) | (1,073) | (612) | (612) | (612) | (612) | (2,449) | (2,353) |
| Other income (expense), net | (125) | 677 | 1,284 | 827 | 93 | 1,128 | 609 | 2,657 | 362 | 362 | 362 | 362 | 1,448 | 4,363 |
| **Pre-tax Income** | **28,819** | **47,428** | **70,664** | **18,382** | **20,534** | **21,663** | **25,354** | **85,933** | **19,385** | **19,751** | **21,031** | **25,645** | **85,813** | **95,143** |
| Income Taxes | 5,620 | 8,331 | 8,304 | 1,738 | 2,197 | 18,954 | 2,586 | 25,475 | 2,714 | 2,963 | 3,365 | 4,103 | 13,145 | 14,271 |
| Effective Tax Rate | 20% | 18% | 12% | 9% | 11% | 87% | 10% | 30% | 14% | 15% | 16% | 16% | 15% | 15% |
| **GAAP Net Income** | **23,200** | **39,098** | **62,360** | **16,644** | **18,337** | **2,709** | **22,768** | **60,458** | **16,671** | **16,789** | **17,666** | **21,542** | **72,668** | **80,871** |
| **GAAP Basic EPS** | **$8.63** | **$15.19** | **$24.61** | **$6.59** | **$7.28** | **$1.08** | **$9.02** | **$23.98** | **$6.60** | **$6.64** | **$6.98** | **$8.50** | **$28.71** | **$32.01** |
| **GAAP Diluted EPS** | **$8.59** | **$14.87** | **$23.86** | **$6.43** | **$7.14** | **$1.05** | **$8.88** | **$23.49** | **$6.49** | **$6.53** | **$6.87** | **$8.36** | **$28.26** | **$31.51** |
| Basic Shares Out | 2,687 | 2,574 | 2,534 | 2,527 | 2,518 | 2,517 | 2,525 | 2,521 | 2,528 | 2,530 | 2,533 | 2,535 | 2,531 | 2,526 |
| Diluted Shares Out | 2,702 | 2,629 | 2,614 | 2,590 | 2,570 | 2,572 | 2,565 | 2,574 | 2,568 | 2,570 | 2,573 | 2,575 | 2,571 | 2,566 |
| **Adjusted EBITDA Reconciliation:** | | | | | | | | | | | | | | |
| Operating Income | 28,944 | 46,751 | 69,380 | 17,555 | 20,441 | 20,535 | 24,745 | 83,276 | 19,023 | 19,389 | 20,669 | 25,283 | 84,365 | 90,780 |
| Stock-based compensation | 11,991 | 14,027 | 16,690 | 4,147 | 4,834 | 5,555 | 5,890 | 20,426 | 6,322 | 7,384 | 6,827 | 6,869 | 27,401 | 31,782 |
| Payroll Tax Related to SBC, Other | 4,849 | 5,598 | 707 | 161 | 72 | 72 | 61 | 365 | 185 | 83 | 83 | 70 | 420 | 483 |
| Depreciation and Amortization | 8,686 | 11,177 | 15,498 | 3,900 | 4,342 | 4,963 | 5,411 | 18,616 | 5,909 | 6,748 | 8,204 | 9,187 | 30,048 | 39,101 |
| **Adjusted EBITDA** | **54,470** | **77,553** | **102,275** | **25,763** | **29,689** | **31,125** | **36,107** | **122,683** | **31,439** | **33,604** | **35,783** | **41,409** | **142,235** | **162,147** |

Source: Company reports and J.P. Morgan estimates.

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## Figure 4: Meta Platforms Income Statement (Cont'd)

| Y/Y Growth | 2022A | 2023A | 2024A | 1Q25A | 2Q25A | 3Q25A | 4Q25A | 2025A | 1Q26E | 2Q26E | 3Q26E | 4Q26E | 2026E | 2027E |
|---|---|---|---|---|---|---|---|---|---|---|---|---|---|---|
| **Revenue** | **-1.1%** | **15.7%** | **21.9%** | **16.1%** | **21.6%** | **26.2%** | **23.8%** | **22.2%** | **32.2%** | **26.3%** | **23.4%** | **22.0%** | **25.5%** | **16.7%** |
| **Revenue FXN** | **3.9%** | **15.4%** | **22.6%** | **19.5%** | **21.8%** | **25.2%** | **22.8%** | **22.4%** | **28.1%** | **24.4%** | **22.3%** | **20.8%** | **23.6%** | **16.7%** |
| Cost of Revenue | 4.1% | 9.9% | 15.1% | 14.1% | 17.0% | 25.5% | 23.0% | 20.2% | 34.1% | 31.6% | 28.3% | 27.1% | 29.9% | 19.2% |
| **Gross Profit** | **-2.3%** | **17.1%** | **23.5%** | **16.5%** | **22.6%** | **26.4%** | **24.0%** | **22.6%** | **31.8%** | **25.2%** | **22.3%** | **20.9%** | **24.6%** | **16.1%** |
| Marketing and Sales | 3.1% | -21.8% | -3.6% | 9.5% | 13.1% | 2.0% | 2.9% | 6.5% | 19.8% | 15.9% | 28.2% | 28.9% | 23.4% | 14.4% |
| Research and Development | 38.2% | 3.3% | 19.5% | 26.3% | 31.7% | 34.4% | 42.7% | 34.3% | 70.0% | 79.5% | 69.5% | 60.5% | 69.1% | 27.7% |
| General and Administrative | 11.0% | -4.9% | -9.7% | -35.8% | -28.6% | 102.5% | 544.3% | 27.5% | 43.5% | 38.9% | 3.7% | 14.3% | 21.9% | 12.4% |
| Stock-based Compensation | 30.9% | 17.0% | 19.0% | 16.4% | 4.7% | 30.7% | 38.2% | 22.4% | 52.5% | 52.7% | 22.9% | 16.6% | 34.1% | 16.0% |
| **Total Operating Expenses** | **31.7%** | **-2.8%** | **5.0%** | **7.5%** | **9.6%** | **35.1%** | **49.6%** | **25.3%** | **55.4%** | **58.2%** | **42.7%** | **39.7%** | **48.0%** | **21.9%** |
| **Total GAAP Expenses** | **23.2%** | **0.6%** | **7.9%** | **9.4%** | **11.8%** | **32.1%** | **40.5%** | **23.7%** | **49.1%** | **50.1%** | **38.5%** | **36.0%** | **42.7%** | **21.2%** |
| **Operating Income** | **-38.1%** | **61.5%** | **48.4%** | **27.0%** | **37.7%** | **18.4%** | **5.9%** | **20.0%** | **8.4%** | **-5.1%** | **0.7%** | **2.2%** | **1.3%** | **7.6%** |
| GAAP Net Income | -41.1% | 68.5% | 59.5% | 34.6% | 36.2% | -82.7% | 9.3% | -3.1% | 0.2% | -8.4% | 552.1% | -5.4% | 20.2% | 11.3% |
| **GAAP EPS** | **-37.6%** | **73.2%** | **60.4%** | **36.4%** | **38.3%** | **-82.5%** | **10.7%** | **-1.5%** | **1.0%** | **-8.4%** | **552.0%** | **-5.8%** | **20.3%** | **11.5%** |
| **Adjusted EBITDA** | **-15.0%** | **42.4%** | **31.9%** | **21.9%** | **27.9%** | **21.1%** | **12.0%** | **20.0%** | **22.0%** | **13.2%** | **15.0%** | **14.7%** | **15.9%** | **14.0%** |

| % of Revenues | 2022A | 2023A | 2024A | 1Q25A | 2Q25A | 3Q25A | 4Q25A | 2025A | 1Q26E | 2Q26E | 3Q26E | 4Q26E | 2026E | 2027E |
|---|---|---|---|---|---|---|---|---|---|---|---|---|---|---|
| Cost of Revenue | 19.7% | 18.7% | 17.7% | 17.3% | 17.3% | 17.4% | 17.6% | 17.4% | 17.5% | 18.0% | 18.1% | 18.3% | 18.0% | 18.4% |
| Marketing and Sales | 11.7% | 7.9% | 6.2% | 6.0% | 5.8% | 5.1% | 5.1% | 5.4% | 5.4% | 5.3% | 5.3% | 5.4% | 5.4% | 5.3% |
| Research and Development | 20.8% | 18.6% | 18.2% | 20.6% | 18.7% | 20.2% | 20.5% | 20.0% | 26.5% | 26.5% | 27.7% | 27.0% | 26.9% | 29.5% |
| General and Administrative | 8.7% | 7.2% | 5.3% | 4.9% | 5.1% | 6.4% | 5.7% | 5.6% | 5.3% | 5.6% | 5.4% | 5.3% | 5.4% | 5.2% |
| Stock-based Compensation | 10.3% | 10.4% | 10.1% | 9.8% | 10.2% | 10.8% | 9.8% | 10.2% | 11.3% | 12.3% | 10.8% | 9.4% | 10.9% | 10.8% |
| **Total GAAP Operating Expenses** | **55.5%** | **46.6%** | **40.1%** | **41.3%** | **39.7%** | **42.5%** | **41.1%** | **41.2%** | **48.5%** | **49.7%** | **49.2%** | **47.1%** | **48.6%** | **50.8%** |

| Margins | 2022A | 2023A | 2024A | 1Q25A | 2Q25A | 3Q25A | 4Q25A | 2025A | 1Q26E | 2Q26E | 3Q26E | 4Q26E | 2026E | 2027E |
|---|---|---|---|---|---|---|---|---|---|---|---|---|---|---|
| Gross Margin | 80.3% | 81.3% | 82.3% | 82.7% | 82.7% | 82.6% | 82.4% | 82.6% | 82.5% | 82.0% | 81.9% | 81.7% | 82.0% | 81.6% |
| **GAAP Operating margin** | **24.8%** | **34.7%** | **42.2%** | **41.5%** | **43.0%** | **40.1%** | **41.3%** | **41.4%** | **34.0%** | **32.3%** | **32.7%** | **34.6%** | **33.4%** | **30.8%** |
| **Adjusted EBITDA Margin** | **46.7%** | **57.5%** | **62.2%** | **60.9%** | **62.5%** | **60.7%** | **60.3%** | **61.0%** | **56.2%** | **56.0%** | **56.6%** | **56.7%** | **56.4%** | **55.1%** |
| **Incremental Adjusted EBITDA Margin** | **728.6%** | **126.2%** | **83.5%** | **78.9%** | **76.8%** | **50.9%** | **33.7%** | **56.0%** | **41.6%** | **31.3%** | **38.9%** | **40.2%** | **38.1%** | **47.4%** |

Source: Company reports and J.P. Morgan estimates.

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## Figure 5: Meta Platforms Segment Summary: Revenue Build

$ in millions, except per share data

| Revenue Summary | 2022A | 2023A | 2024A | 1Q25A | 2Q25A | 3Q25A | 4Q25A | 2025A | 1Q26E | 2Q26E | 3Q26E | 4Q26E | 2026E | 2027E |
|---|---|---|---|---|---|---|---|---|---|---|---|---|---|---|
| **Advertising Revenue** | **113,641** | **131,948** | **160,633** | **41,392** | **46,563** | **50,082** | **58,137** | **196,174** | **54,668** | **58,798** | **61,774** | **70,892** | **246,132** | **286,657** |
| *Y/Y Growth* | *-1.1%* | *16.1%* | *21.7%* | *16.2%* | *21.5%* | *25.6%* | *24.3%* | *22.1%* | *32.1%* | *26.3%* | *23.3%* | *21.9%* | *25.5%* | *16.5%* |
| *Q/Q Growth* | | | | *-11.5%* | *12.5%* | *7.6%* | *16.1%* | | *-6.0%* | *7.6%* | *5.1%* | *14.8%* | | |
| % of Total Revenues | 97.5% | 97.8% | 97.6% | 97.8% | 98.0% | 97.7% | 97.1% | 97.6% | 97.7% | 97.9% | 97.7% | 97.0% | 97.6% | 97.4% |
| ***FXN Y/Y Growth*** | ***4.0%*** | ***15.8%*** | ***22.4%*** | ***19.6%*** | ***21.7%*** | ***24.5%*** | ***23.3%*** | ***22.4%*** | ***27.9%*** | ***24.3%*** | ***22.2%*** | ***20.6%*** | ***23.5%*** | ***16.5%*** |
| **Other Revenue** | **809** | **1,058** | **1,722** | **510** | **583** | **690** | **801** | **2,584** | **816** | **828** | **932** | **1,121** | **3,697** | **4,991** |
| *Y/Y Growth* | *12.2%* | *30.8%* | *62.8%* | *34.2%* | *49.9%* | *59.0%* | *54.3%* | *50.1%* | *60.0%* | *42.0%* | *35.0%* | *40.0%* | *43.1%* | *35.0%* |
| *Q/Q Growth* | | | | *-1.7%* | *14.3%* | *18.4%* | *16.1%* | | *1.9%* | *1.5%* | *12.5%* | *20.4%* | | |
| % of Total Revenues | 0.7% | 0.8% | 1.0% | 1.2% | 1.2% | 1.3% | 1.3% | 1.3% | 1.5% | 1.4% | 1.5% | 1.5% | 1.5% | 1.7% |
| **Family of Apps Revenue** | **114,450** | **133,006** | **162,355** | **41,902** | **47,146** | **50,772** | **58,938** | **198,758** | **55,484** | **59,626** | **62,706** | **72,013** | **249,829** | **291,647** |
| *Y/Y Growth* | *-1.0%* | *16.2%* | *22.1%* | *16.3%* | *21.8%* | *25.9%* | *24.6%* | *22.4%* | *32.4%* | *26.5%* | *23.5%* | *22.2%* | *25.7%* | *16.7%* |
| *Q/Q Growth* | | | | *-11.4%* | *12.5%* | *7.7%* | *16.1%* | *237.2%* | *-5.9%* | *7.5%* | *5.2%* | *14.8%* | *246.9%* | |
| % of Total Revenues | 98.1% | 98.6% | 98.7% | 99.0% | 99.2% | 99.1% | 98.4% | 98.9% | 99.2% | 99.3% | 99.2% | 98.5% | 99.0% | 99.1% |
| **Reality Labs** | **2,159** | **1,896** | **2,146** | **412** | **370** | **470** | **955** | **2,207** | **466** | **403** | **503** | **1,060** | **2,432** | **2,626** |
| *Y/Y Growth* | *-5.1%* | *-12.2%* | *13.2%* | *-6.4%* | *4.8%* | *74.1%* | *-11.8%* | *2.8%* | *13.0%* | *9.0%* | *7.0%* | *11.0%* | *10.2%* | *8.0%* |
| *Q/Q Growth* | | | | *-62.0%* | *-10.2%* | *27.0%* | *103.2%* | *131.1%* | *-51.3%* | *-13.4%* | *24.7%* | *110.8%* | *129.4%* | |
| % of Total Revenues | 1.9% | 1.4% | 1.3% | 1.0% | 0.8% | 0.9% | 1.6% | 1.1% | 0.8% | 0.7% | 0.8% | 1.5% | 1.0% | 0.9% |
| **Total Revenue** | **116,609** | **134,902** | **164,501** | **42,314** | **47,516** | **51,242** | **59,893** | **200,965** | **55,950** | **60,029** | **63,209** | **73,073** | **252,261** | **294,274** |
| *Y/Y Growth* | *-1.1%* | *15.7%* | *21.9%* | *16.1%* | *21.6%* | *26.2%* | *23.8%* | *22.2%* | *32.2%* | *26.3%* | *23.4%* | *22.0%* | *25.5%* | *16.7%* |
| *Q/Q Growth* | | | | *-12.5%* | *12.3%* | *7.8%* | *16.9%* | | *-6.6%* | *7.3%* | *5.3%* | *15.6%* | | |
| ***FXN Y/Y Growth*** | ***3.9%*** | ***15.4%*** | ***22.6%*** | ***19.5%*** | ***21.8%*** | ***25.2%*** | ***22.8%*** | ***22.4%*** | ***28.1%*** | ***24.4%*** | ***22.3%*** | ***20.8%*** | ***23.6%*** | ***16.7%*** |
| Seasonality | 100.0% | 100.0% | 100.0% | 21.1% | 23.6% | 25.5% | 29.8% | 100.0% | 22.2% | 23.8% | 25.1% | 29.0% | 100.0% | |

Source: Company reports and J.P. Morgan estimates.

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## Figure 6: Meta Platforms Segment Summary: Operating Income Build

$ in millions, except per share data

| Operating Income Build | 2022A | 2023A | 2024A | 1Q25A | 2Q25A | 3Q25A | 4Q25A | 2025A | 1Q26E | 2Q26E | 3Q26E | 4Q26E | 2026E | 2027E |
|---|---|---|---|---|---|---|---|---|---|---|---|---|---|---|
| **Family of Apps** | | | | | | | | | | | | | | |
| **Family of Apps Revenue** | **114,450** | **133,006** | **162,355** | **41,902** | **47,146** | **50,772** | **58,938** | **198,758** | **55,484** | **59,626** | **62,706** | **72,013** | **249,829** | **291,647** |
| *Y/Y Growth* | *-1.0%* | *16.2%* | *22.1%* | *16.3%* | *21.8%* | *25.9%* | *24.6%* | *22.4%* | *32.4%* | *26.5%* | *23.5%* | *22.2%* | *25.7%* | *16.7%* |
| % of Total Revenue | 98.1% | 98.6% | 98.7% | 99.0% | 99.2% | 99.1% | 98.4% | 98.9% | 99.2% | 99.3% | 99.2% | 98.5% | 99.0% | 99.1% |
| **Family of Apps Costs & Expenses** | **71,788** | **70,135** | **75,245** | **20,137** | **22,175** | **25,805** | **28,172** | **96,289** | **31,212** | **35,480** | **37,417** | **41,695** | **145,804** | **182,255** |
| *Y/Y Growth* | *22.3%* | *-2.3%* | *7.3%* | *9.7%* | *14.4%* | *39.2%* | *48.5%* | *28.0%* | *55.0%* | *60.0%* | *45.0%* | *48.0%* | *51.4%* | *25.0%* |
| % of Total Costs & Expenses | 81.9% | 79.6% | 79.1% | 81.3% | 81.9% | 84.0% | 80.2% | 81.8% | 84.5% | 87.3% | 88.0% | 87.2% | 86.8% | 89.6% |
| **Family of Apps Operating Income** | **42,661** | **62,871** | **87,109** | **21,765** | **24,971** | **24,967** | **30,766** | **102,469** | **24,272** | **24,146** | **25,288** | **30,318** | **104,025** | **109,392** |
| *Y/Y Growth* | *-25.1%* | *47.4%* | *38.6%* | *23.2%* | *29.1%* | *14.6%* | *8.6%* | *17.6%* | *11.5%* | *-3.3%* | *1.3%* | *-1.5%* | *1.5%* | *5.2%* |
| % Margin | 37.3% | 47.3% | 53.7% | 51.9% | 53.0% | 49.2% | 52.2% | 51.6% | 43.7% | 40.5% | 40.3% | 42.1% | 41.6% | 37.5% |
| % of Total Operating Income | 147.4% | 134.5% | 125.6% | 124.0% | 122.2% | 121.6% | 124.3% | 123.0% | 127.6% | 124.5% | 122.3% | 119.9% | 123.3% | 120.5% |
| **Reality Labs** | | | | | | | | | | | | | | |
| **Reality Labs Revenue** | **2,159** | **1,896** | **2,146** | **412** | **370** | **470** | **955** | **2,207** | **466** | **403** | **503** | **1,060** | **2,432** | **2,626** |
| *Y/Y Growth* | *-5.1%* | *-12.2%* | *13.2%* | *-6.4%* | *4.8%* | *74.1%* | *-11.8%* | *2.8%* | *13.0%* | *9.0%* | *7.0%* | *11.0%* | *10.2%* | *8.0%* |
| % of Total Revenue | 1.9% | 1.4% | 1.3% | 1.0% | 0.8% | 0.9% | 1.6% | 1.1% | 0.8% | 0.7% | 0.8% | 1.5% | 1.0% | 0.9% |
| **Reality Labs Costs & Expenses** | **15,876** | **18,015** | **19,875** | **4,622** | **4,900** | **4,902** | **6,976** | **21,400** | **5,714** | **5,160** | **5,122** | **6,095** | **22,092** | **21,238** |
| *Y/Y Growth* | *27.3%* | *13.5%* | *10.3%* | *7.8%* | *1.2%* | *4.3%* | *15.3%* | *7.7%* | *23.6%* | *5.3%* | *4.5%* | *-12.6%* | *3.2%* | *-3.9%* |
| % of Total Costs & Expenses | 18.1% | 20.4% | 20.9% | 18.7% | 18.1% | 16.0% | 19.8% | 18.2% | 15.5% | 12.7% | 12.0% | 12.8% | 13.2% | 10.4% |
| **Reality Labs Operating Income** | **(13,717)** | **(16,120)** | **(17,729)** | **(4,210)** | **(4,530)** | **(4,432)** | **(6,021)** | **(19,193)** | **(5,249)** | **(4,757)** | **(4,619)** | **(5,035)** | **(19,660)** | **(18,612)** |
| *Y/Y Growth* | *-34.6%* | *-17.5%* | *-10.0%* | *-9.5%* | *-0.9%* | *-0.1%* | *-21.2%* | *-8.3%* | *-24.7%* | *-5.0%* | *-4.2%* | *16.4%* | *-2.4%* | *5.3%* |
| % Margin | -635.3% | -850.2% | -826.1% | -1021.8% | -1224.3% | -943.0% | -630.5% | -869.6% | -1127.4% | -1179.4% | -918.5% | -475.0% | -808.4% | -708.7% |
| % of Total Operating Income | -47.4% | -34.5% | -25.6% | -24.0% | -22.2% | -21.6% | -24.3% | -23.0% | -27.6% | -24.5% | -22.3% | -19.9% | -23.3% | -20.5% |
| **Total Company** | | | | | | | | | | | | | | |
| **Total Revenue** | **116,609** | **134,902** | **164,501** | **42,314** | **47,516** | **51,242** | **59,893** | **200,965** | **55,950** | **60,029** | **63,209** | **73,073** | **252,261** | **294,274** |
| *Y/Y Growth* | *-1.1%* | *15.7%* | *21.9%* | *16.1%* | *21.6%* | *26.2%* | *23.8%* | *22.2%* | *32.2%* | *26.3%* | *23.4%* | *22.0%* | *25.5%* | *16.7%* |
| **Total Costs & Expenses** | **87,665** | **88,151** | **95,120** | **24,759** | **27,075** | **30,707** | **35,148** | **117,689** | **36,927** | **40,640** | **42,539** | **47,790** | **167,896** | **203,493** |
| *Y/Y Growth* | *23.2%* | *0.6%* | *7.9%* | *9.4%* | *11.8%* | *32.1%* | *40.5%* | *23.7%* | *49.1%* | *50.1%* | *38.5%* | *36.0%* | *42.7%* | *21.2%* |
| **Total Operating Income** | **28,944** | **46,751** | **69,380** | **17,555** | **20,441** | **20,535** | **24,745** | **83,276** | **19,023** | **19,389** | **20,669** | **25,283** | **84,365** | **90,780** |
| *Y/Y Growth* | *-38.1%* | *61.5%* | *48.4%* | *27.0%* | *37.7%* | *18.4%* | *5.9%* | *20.0%* | *8.4%* | *-5.1%* | *0.7%* | *2.2%* | *1.3%* | *7.6%* |
| % Margin | 24.8% | 34.7% | 42.2% | 41.5% | 43.0% | 40.1% | 41.3% | 41.4% | 34.0% | 32.3% | 32.7% | 34.6% | 33.4% | 30.8% |

Source: Company reports and J.P. Morgan estimates.

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## Figure 7: Meta Platforms Revenue Summary

$ in millions, except per share data

| Revenue per MAU (ARPU) Build | 2022A | 2023A | 2024A | 1Q25A | 2Q25A | 3Q25A | 4Q25A | 2025A | 1Q26E | 2Q26E | 3Q26E | 4Q26E | 2026E | 2027E |
|---|---|---|---|---|---|---|---|---|---|---|---|---|---|---|
| US & Canada | $206.78 | $227.68 | $263.62 | $67.59 | $73.64 | $78.34 | $95.20 | $315.36 | $86.05 | $91.32 | $97.00 | $118.07 | $393.29 | $463.21 |
| Europe | $61.83 | $75.79 | $94.57 | $23.54 | $28.01 | $29.66 | $34.96 | $116.09 | $31.47 | $35.46 | $36.84 | $42.39 | $146.26 | $169.86 |
| Asia | $18.15 | $20.09 | $23.66 | $5.95 | $6.54 | $7.12 | $7.71 | $27.43 | $7.60 | $7.85 | $8.07 | $8.58 | $32.17 | $35.05 |
| Rest of World | $13.24 | $15.88 | $20.13 | $5.29 | $5.85 | $6.45 | $7.15 | $24.82 | $7.22 | $7.49 | $7.79 | $8.45 | $30.96 | $35.34 |
| **Total ARPU** | **$39.70** | **$44.76** | **$52.97** | **$13.39** | **$14.90** | **$15.95** | **$18.55** | **$62.99** | **$17.25** | **$18.40** | **$19.25** | **$22.16** | **$77.20** | **$88.50** |
| **ARPU Y/Y Growth:** | | | | | | | | | | | | | | |
| *US & Canada* | *-3.3%* | *10.1%* | *15.8%* | *16.2%* | *19.2%* | *21.7%* | *19.8%* | *19.6%* | *27.3%* | *24.0%* | *23.8%* | *24.0%* | *24.7%* | *17.8%* |
| *Europe* | *-10.1%* | *22.6%* | *24.8%* | *13.5%* | *23.6%* | *28.6%* | *25.3%* | *22.8%* | *33.7%* | *26.6%* | *24.2%* | *21.2%* | *26.0%* | *16.1%* |
| *Asia* | *3.6%* | *10.7%* | *17.8%* | *9.3%* | *14.7%* | *20.7%* | *16.9%* | *15.9%* | *27.7%* | *20.1%* | *13.3%* | *11.3%* | *17.3%* | *9.0%* |
| *Rest of World* | *6.9%* | *20.0%* | *26.8%* | *15.9%* | *19.7%* | *27.2%* | *27.9%* | *23.3%* | *36.4%* | *27.9%* | *20.8%* | *18.2%* | *24.7%* | *14.2%* |
| ***Total ARPU*** | ***-3.9%*** | ***12.8%*** | ***18.4%*** | ***13.0%*** | ***18.2%*** | ***22.5%*** | ***20.2%*** | ***18.9%*** | ***28.9%*** | ***23.5%*** | ***20.7%*** | ***19.5%*** | ***22.6%*** | ***14.6%*** |
| **ARPU Q/Q Growth:** | | | | | | | | | | | | | | |
| *US & Canada* | | | | *-14.9%* | *8.9%* | *6.4%* | *21.5%* | | *-9.6%* | *6.1%* | *6.2%* | *21.7%* | | |
| *Europe* | | | | *-15.7%* | *19.0%* | *5.9%* | *17.9%* | | *-10.0%* | *12.7%* | *3.9%* | *15.1%* | | |
| *Asia* | | | | *-9.7%* | *9.8%* | *8.9%* | *8.2%* | | *-1.4%* | *3.3%* | *2.8%* | *6.3%* | | |
| *Rest of World* | | | | *-5.4%* | *10.6%* | *10.2%* | *10.8%* | | *1.0%* | *3.7%* | *4.0%* | *8.4%* | | |
| ***Total ARPU*** | | | | ***-13.2%*** | ***11.3%*** | ***7.1%*** | ***16.3%*** | | ***-7.0%*** | ***6.7%*** | ***4.6%*** | ***15.1%*** | | |

| Family Avg. Revenue per Person (ARPP) | 2022A | 2023A | 2024A | 1Q25A | 2Q25A | 3Q25A | 4Q25A | 2025A | 1Q26E | 2Q26E | 3Q26E | 4Q26E | 2026E | 2027E |
|---|---|---|---|---|---|---|---|---|---|---|---|---|---|---|
| **Family ARPP (Daily)** | **$39.42** | **$42.97** | **$49.47** | **$12.36** | **$13.65** | **$14.46** | **$16.56** | **$56.90** | **$15.39** | **$16.35** | **$17.01** | **$19.33** | **$67.93** | **$76.88** |
| Y/Y Growth | *-6.1%* | *9.0%* | *15.1%* | *10.3%* | *14.7%* | *17.7%* | *16.2%* | *15.0%* | *24.5%* | *19.8%* | *17.6%* | *16.8%* | *19.4%* | *13.2%* |
| Q/Q Growth | | | | *-13.2%* | *10.4%* | *6.0%* | *14.5%* | | *-7.0%* | *6.2%* | *4.0%* | *13.7%* | | |
| **Family ARPP (Monthly)** | **$31.23** | **$34.46** | **$39.85** | **$9.94** | **$11.00** | **$11.69** | **$13.40** | **$46.29** | **$12.48** | **$13.26** | **$13.82** | **$15.73** | **$55.42** | **$62.67** |
| Y/Y Growth | *-7.0%* | *10.3%* | *15.6%* | *10.6%* | *15.1%* | *18.9%* | *17.5%* | *16.2%* | *25.5%* | *20.6%* | *18.2%* | *17.4%* | *19.7%* | *13.1%* |
| Q/Q Growth | | | | *-12.8%* | *10.7%* | *6.3%* | *14.6%* | | *-6.9%* | *6.3%* | *4.2%* | *13.9%* | | |

| Revenue Based on User Location | 2022A | 2023A | 2024A | 1Q25A | 2Q25A | 3Q25A | 4Q25A | 2025A | 1Q26E | 2Q26E | 3Q26E | 4Q26E | 2026E | 2027E |
|---|---|---|---|---|---|---|---|---|---|---|---|---|---|---|
| US & Canada | 54,591 | 61,245 | 72,063 | 18,605 | 20,371 | 21,751 | 26,472 | 87,199 | 23,956 | 25,551 | 27,282 | 33,206 | 109,996 | 130,683 |
| Europe | 25,785 | 30,886 | 38,778 | 9,680 | 11,532 | 12,268 | 14,480 | 47,960 | 13,024 | 14,731 | 15,390 | 17,731 | 60,876 | 71,332 |
| Asia | 23,499 | 26,915 | 32,834 | 8,439 | 9,366 | 10,272 | 11,182 | 39,259 | 11,102 | 11,543 | 11,930 | 12,747 | 47,322 | 52,575 |
| Rest of World | 12,734 | 15,855 | 20,825 | 5,590 | 6,247 | 6,951 | 7,759 | 26,547 | 7,867 | 8,204 | 8,606 | 9,389 | 34,066 | 39,683 |
| **Total Revenue** | **116,609** | **134,902** | **164,501** | **42,314** | **47,516** | **51,242** | **59,893** | **200,965** | **55,950** | **60,029** | **63,209** | **73,073** | **252,261** | **294,274** |
| **Revenue Split by Region:** | | | | | | | | | | | | | | |
| US & Canada | 46.8% | 45.4% | 43.8% | 44.0% | 42.9% | 42.4% | 44.2% | 43.4% | 42.8% | 42.6% | 43.2% | 45.4% | 43.6% | 44.4% |
| Europe | 22.1% | 22.9% | 23.6% | 22.9% | 24.3% | 23.9% | 24.2% | 23.9% | 23.3% | 24.5% | 24.3% | 24.3% | 24.1% | 24.2% |
| Asia | 20.2% | 20.0% | 20.0% | 19.9% | 19.7% | 20.0% | 18.7% | 19.5% | 19.8% | 19.2% | 18.9% | 17.4% | 18.8% | 17.9% |
| Rest of World | 10.9% | 11.8% | 12.7% | 13.2% | 13.1% | 13.6% | 13.0% | 13.2% | 14.1% | 13.7% | 13.6% | 12.8% | 13.5% | 13.5% |
| **Total Revenue** | **100.0%** | **100.0%** | **100.0%** | **100.0%** | **100.0%** | **100.0%** | **100.0%** | **100.0%** | **100.0%** | **100.0%** | **100.0%** | **100.0%** | **100.0%** | **100.0%** |
| **Revenue Y/Y Growth:** | | | | | | | | | | | | | | |
| *US & Canada* | *-1.8%* | *12.2%* | *17.7%* | *17.6%* | *20.9%* | *23.5%* | *21.5%* | *21.0%* | *28.8%* | *25.4%* | *25.4%* | *25.4%* | *26.1%* | *18.8%* |
| *Europe* | *-11.4%* | *19.8%* | *25.6%* | *14.1%* | *24.0%* | *29.2%* | *25.9%* | *23.7%* | *34.5%* | *27.7%* | *25.4%* | *22.4%* | *26.9%* | *17.2%* |
| *Asia* | *8.4%* | *14.5%* | *22.0%* | *12.8%* | *18.7%* | *25.0%* | *21.0%* | *19.6%* | *31.6%* | *23.2%* | *16.1%* | *14.0%* | *20.5%* | *11.1%* |
| *Rest of World* | *10.2%* | *24.5%* | *31.3%* | *19.8%* | *24.0%* | *31.9%* | *32.5%* | *27.5%* | *40.7%* | *31.3%* | *23.8%* | *21.0%* | *28.3%* | *16.5%* |
| ***Total Revenue*** | ***-1.1%*** | ***15.7%*** | ***21.9%*** | ***16.1%*** | ***21.6%*** | ***26.2%*** | ***23.8%*** | ***22.2%*** | ***32.2%*** | ***26.3%*** | ***23.4%*** | ***22.0%*** | ***25.5%*** | ***16.7%*** |

| Revenue Based on Customer Address | 2022A | 2023A | 2024A | 1Q25A | 2Q25A | 3Q25A | 4Q25A | 2025A | 1Q26E | 2Q26E | 3Q26E | 4Q26E | 2026E | 2027E |
|---|---|---|---|---|---|---|---|---|---|---|---|---|---|---|
| US & Canada | 50,150 | 52,888 | 63,207 | 16,869 | 18,454 | 19,708 | 23,741 | 78,772 | 21,930 | 23,068 | 24,635 | 29,677 | 99,309 | 113,212 |
| Europe | 26,681 | 31,210 | 38,361 | 9,621 | 11,128 | 11,566 | 14,383 | 46,698 | 12,700 | 14,244 | 14,573 | 17,835 | 59,351 | 68,848 |
| Asia | 27,760 | 36,154 | 45,009 | 11,239 | 12,858 | 14,304 | 15,359 | 53,760 | 14,611 | 16,073 | 16,879 | 17,663 | 65,225 | 73,052 |
| Rest of World | 12,018 | 14,650 | 17,924 | 4,585 | 5,076 | 5,664 | 6,410 | 21,735 | 6,710 | 6,645 | 7,122 | 7,899 | 28,376 | 39,162 |
| **Total Revenue** | **116,609** | **134,902** | **164,501** | **42,314** | **47,516** | **51,242** | **59,893** | **200,965** | **55,950** | **60,029** | **63,209** | **73,073** | **252,261** | **294,274** |
| **Revenue Split by Region:** | | | | | | | | | | | | | | |
| US & Canada | 43.0% | 39.2% | 38.4% | 39.9% | 38.8% | 38.5% | 39.6% | 39.2% | 39.2% | 38.4% | 39.0% | 40.6% | 39.4% | 38.5% |
| Europe | 22.9% | 23.1% | 23.3% | 22.7% | 23.4% | 22.6% | 24.0% | 23.2% | 22.7% | 23.7% | 23.1% | 24.4% | 23.5% | 23.4% |
| Asia | 23.8% | 26.8% | 27.4% | 26.6% | 27.1% | 27.9% | 25.6% | 26.8% | 26.1% | 26.8% | 26.7% | 24.2% | 25.9% | 24.8% |
| Rest of World | 10.3% | 10.9% | 10.9% | 10.8% | 10.7% | 11.1% | 10.7% | 10.8% | 12.0% | 11.1% | 11.3% | 10.8% | 11.2% | 13.3% |
| **Total** | 100.0% | 100.0% | 100.0% | 100.0% | 100.0% | 100.0% | 100.0% | 100.0% | 100.0% | 100.0% | 100.0% | 100.0% | 100.0% | 100.0% |
| **Revenue Y/Y Growth:** | | | | | | | | | | | | | | |
| *US & Canada* | *-2.7%* | *5.5%* | *19.5%* | *23.6%* | *26.1%* | *26.2%* | *23.0%* | *24.6%* | *30.0%* | *25.0%* | *25.0%* | *25.0%* | *26.1%* | *14.0%* |
| *Europe* | *-8.2%* | *17.0%* | *22.9%* | *14.5%* | *21.6%* | *25.6%* | *24.0%* | *21.7%* | *32.0%* | *28.0%* | *26.0%* | *24.0%* | *27.1%* | *16.0%* |
| *Asia* | *3.8%* | *30.2%* | *24.5%* | *9.0%* | *17.2%* | *27.2%* | *23.0%* | *19.4%* | *30.0%* | *25.0%* | *18.0%* | *15.0%* | *21.3%* | *12.0%* |
| *Rest of World* | *13.5%* | *21.9%* | *22.3%* | *12.0%* | *17.7%* | *25.3%* | *28.2%* | *21.3%* | *46.3%* | *30.9%* | *25.7%* | *23.2%* | *30.6%* | *38.0%* |
| ***Total*** | ***-1.1%*** | ***15.7%*** | ***21.9%*** | ***16.1%*** | ***21.6%*** | ***26.2%*** | ***23.8%*** | ***22.2%*** | ***32.2%*** | ***26.3%*** | ***23.4%*** | ***22.0%*** | ***25.5%*** | ***16.7%*** |

Source: Company reports and J.P. Morgan estimates.

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# Investment Thesis, Valuation and Risks

## Meta Platforms Inc *(Overweight; Price Target: $825.00)*

**Investment Thesis**

We believe Meta's virtual ownership of the social graph, strong competitive moat, and focus on the user experience position it to become an enduring blue-chip company built for the long term. Meta is in rarefied air across the combination of scale, growth, and profitability, as the company's massive reach and engagement continue to drive network effects, and its targeting abilities provide significant value to advertisers. Meta is focused on the two big tech waves of AI and Metaverse, and it will spend into those major growth opportunities while also remaining disciplined. We recognize these L-T ambitions are driving increasing infrastructure investments, but we project outsized revenue growth in '26, and Meta has a strong track record of driving returns on increased spending.

**Valuation**

We increase our December 2026 PT from $800 to $825 based on ~26x our 2027E GAAP EPS of $31.51, further supported by our DCF model. We apply a premium to the SPX as we have greater confidence in Meta's strong top-line growth and ongoing cost efficiencies. We use this valuation approach as we believe it appropriately balances Meta's valuation relative to its growth and industry peers. Our DCF results in an estimated value of $825 per share and employs an ~13% WACC and a +10% terminal growth rate.

**Risks to Rating and Price Target**

Downside risks include: **1)** AI investments are heavy & monetization lags, which weighs on GAAP OI, GAAP EPS, & FCF; **2)** Slower than expected revenue growth limits AI monetization upside; **3)** competition for online and mobile ad dollars from Google, TikTok, OpenAI, and other online advertising companies; **4)** share structure and Mark Zuckerberg's control; & **5)** regulatory litigations & charges.

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# Meta Platforms Inc: Summary of Financials

| Income Statement - Annual | FY24A | FY25A | FY26E | FY27E | FY28E |
|---|---|---|---|---|---|
| **Revenue** | **164,501** | **200,965** | **252,261** | **294,274** | **-** |
| COGS | (29,076) | (34,949) | (45,410) | (54,149) | - |
| **Gross profit** | **135,425** | **166,016** | **206,851** | **240,124** | **-** |
| SG&A | (19,030) | (22,108) | (27,112) | (30,752) | - |
| **Adj. EBITDA** | **102,275** | **122,683** | **142,235** | **162,147** | **-** |
| D&A | (15,498) | (18,616) | (30,048) | (39,101) | - |
| **Adj. EBIT** | **87,867** | **105,212** | **113,388** | **124,307** | **-** |
| Net Interest | (715) | (1,073) | (2,449) | (2,353) | - |
| **Adj. PBT** | **89,151** | **107,869** | **114,836** | **128,669** | **-** |
| Tax | (8,304) | (25,475) | (13,145) | (14,271) | - |
| Minority Interest | 0 | 0 | 0 | 0 | - |
| **Adj. Net Income** | **72,183** | **87,339** | **92,980** | **104,181** | **-** |
| Reported EPS | 23.86 | 23.49 | 28.26 | 31.51 | - |
| **Adj. EPS** | **27.61** | **33.93** | **36.16** | **40.60** | **-** |
| **DPS** | **-** | **-** | **-** | **-** | **-** |
| Payout ratio | - | - | - | - | - |
| Shares outstanding | 2,614 | 2,574 | 2,571 | 2,566 | - |

| Balance Sheet & Cash Flow Statement | FY24A | FY25A | FY26E | FY27E | FY28E |
|---|---|---|---|---|---|
| Cash and cash equivalents | 43,889 | 35,873 | 36,794 | 28,085 | - |
| Accounts receivable | 16,994 | 19,769 | 19,730 | 19,128 | - |
| Inventories | - | - | - | - | - |
| Other current assets | 39,162 | 53,080 | 53,080 | 53,080 | - |
| **Current assets** | **100,045** | **108,722** | **109,604** | **100,292** | **-** |
| PP&E | 121,346 | 176,400 | 279,296 | 407,931 | - |
| LT investments | - | - | - | - | - |
| Other non current assets | 54,663 | 80,899 | 80,899 | 80,899 | - |
| **Total assets** | **276,054** | **366,021** | **469,799** | **589,122** | **-** |
| | | | | | |
| Short term borrowings | 0 | 0 | 0 | 1,500 | - |
| Payables | 7,687 | 8,894 | 14,615 | 30,310 | - |
| Other short term liabilities | 25,909 | 32,942 | 38,019 | 46,354 | - |
| **Current liabilities** | **33,596** | **41,836** | **52,633** | **78,164** | **-** |
| Long-term debt | 28,826 | 58,744 | 58,744 | 54,494 | - |
| Other long term liabilities | 30,995 | 48,198 | 48,198 | 48,198 | - |
| **Total liabilities** | **93,417** | **148,778** | **159,575** | **180,856** | **-** |
| Shareholders' equity | 182,637 | 217,243 | 310,224 | 408,266 | - |
| Minority interests | - | - | - | - | - |
| **Total liabilities & equity** | **276,054** | **366,021** | **469,799** | **589,122** | **-** |
| **BVPS** | **69.87** | **84.40** | **120.64** | **159.09** | **-** |
| *y/y Growth* | *19.9%* | *20.8%* | *42.9%* | *31.9%* | - |
| Net debt/(cash) | (48,989) | (22,848) | (23,769) | (17,810) | - |
| | | | | | |
| **Cash flow from operating activities** | **91,328** | **115,800** | **140,954** | **176,387** | **-** |
| o/w Depreciation & amortization | 15,498 | 18,616 | 30,048 | 39,101 | - |
| o/w Changes in working capital | 1,050 | (885) | 10,837 | 24,633 | - |
| **Cash flow from investing activities** | **(47,150)** | **(102,003)** | **(134,844)** | **(168,936)** | **-** |
| o/w Capital expenditure | (37,256) | (69,691) | (132,944) | (167,736) | - |
| *as % of sales* | *22.6%* | *34.7%* | *52.7%* | *57.0%* | - |
| **Cash flow from financing activities** | **(40,781)** | **(20,370)** | **(8,416)** | **(16,161)** | **-** |
| o/w Dividends paid | - | - | - | - | - |
| o/w Net debt issued/(repaid) | 10,432 | 29,906 | 0 | (2,750) | - |
| **Net change in cash** | **2,611** | **(6,338)** | **(2,306)** | **(8,709)** | **-** |
| **Adj. Free cash flow to firm** | **54,651** | **46,978** | **9,992** | **10,556** | **-** |
| *y/y Growth* | *23.0%* | *(14.0%)* | *(78.7%)* | *5.6%* | - |

| Income Statement - Quarterly | 1Q26E | 2Q26E | 3Q26E | 4Q26E |
|---|---|---|---|---|
| **Revenue** | **55,950** | **60,029** | **63,209** | **73,073** |
| COGS | (9,791) | (10,805) | (11,441) | (13,372) |
| **Gross profit** | **46,159** | **49,224** | **51,768** | **59,701** |
| SG&A | (5,987) | (6,543) | (6,763) | (7,819) |
| **Adj. EBITDA** | **31,439** | **33,604** | **35,783** | **41,409** |
| D&A | (5,909) | (6,748) | (8,204) | (9,187) |
| **Adj. EBIT** | **25,801** | **27,170** | **27,896** | **32,521** |
| Net Interest | (612) | (612) | (612) | (612) |
| **Adj. PBT** | **26,163** | **27,532** | **28,258** | **32,882** |
| Tax | (2,714) | (2,963) | (3,365) | (4,103) |
| Minority Interest | 0 | 0 | 0 | 0 |
| **Adj. Net Income** | **21,184** | **22,292** | **22,880** | **26,624** |
| Reported EPS | 6.49 | 6.53 | 6.87 | 8.36 |
| **Adj. EPS** | **8.25** | **8.67** | **8.89** | **10.34** |
| **DPS** | **-** | **-** | **-** | **-** |
| Payout ratio | - | - | - | - |
| Shares outstanding | 2,568 | 2,570 | 2,573 | 2,575 |

| Ratio Analysis | FY24A | FY25A | FY26E | FY27E | FY28E |
|---|---|---|---|---|---|
| Gross margin | 82.3% | 82.6% | 82.0% | 81.6% | - |
| EBITDA margin | 62.2% | 61.0% | 56.4% | 55.1% | - |
| EBIT margin | 53.4% | 52.4% | 44.9% | 42.2% | - |
| Net profit margin | 43.9% | 43.5% | 36.9% | 35.4% | - |
| | | | | | |
| ROE | 43.0% | 43.7% | 35.3% | 29.0% | - |
| ROA | 28.5% | 27.2% | 22.2% | 19.7% | - |
| ROCE | 37.1% | 35.0% | 28.5% | 24.2% | - |
| SG&A/Sales | 11.6% | 11.0% | 10.7% | 10.5% | - |
| Net debt/equity | NM | NM | NM | NM | - |
| | | | | | |
| P/E (x) | 24.2 | 19.7 | 18.5 | 16.5 | - |
| P/BV (x) | 9.6 | 7.9 | 5.5 | 4.2 | - |
| EV/EBITDA (x) | 16.9 | 14.2 | 12.2 | 10.7 | - |
| Dividend Yield | - | - | - | - | - |
| | | | | | |
| Sales/Assets (x) | 0.7 | 0.6 | 0.6 | 0.6 | - |
| Interest cover (x) | 143.0 | 114.3 | 58.1 | 68.9 | - |
| Operating leverage | 138.3% | 89.1% | 30.4% | 57.8% | - |
| | | | | | |
| Revenue y/y Growth | 21.9% | 22.2% | 25.5% | 16.7% | - |
| EBITDA y/y Growth | 31.9% | 20.0% | 15.9% | 14.0% | - |
| Tax rate | 19.0% | 19.0% | 19.0% | 19.0% | - |
| Adj. Net Income y/y Growth | 30.9% | 21.0% | 6.5% | 12.0% | - |
| EPS y/y Growth | 31.6% | 22.9% | 6.6% | 12.3% | - |
| DPS y/y Growth | - | - | - | - | - |

Source: Company reports and J.P. Morgan estimates.
Note: $ in millions (except per-share data).Fiscal year ends Dec. o/w - out of which

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Source: Bloomberg Finance L.P. and J.P. Morgan; price data adjusted for stock splits and dividends.
Initiated coverage Jun 27, 2012. All share prices are as of market close on the previous business day.

| Date | Rating | Price ($) | Price Target ($) |
|---|---|---|---|
| 02-Feb-23 | OW | 153.12 | 225 |
| 24-Mar-23 | OW | 204.28 | 270 |
| 27-Apr-23 | OW | 209.40 | 305 |
| 27-Jul-23 | OW | 298.57 | 425 |
| 04-Oct-23 | OW | 300.94 | 400 |
| 26-Oct-23 | OW | 299.53 | 420 |
| 02-Feb-24 | OW | 394.78 | 535 |
| 25-Apr-24 | OW | 493.50 | 480 |
| 01-Aug-24 | OW | 474.83 | 610 |
| 26-Sep-24 | OW | 568.31 | 640 |
| 31-Oct-24 | OW | 591.80 | 660 |
| 18-Dec-24 | OW | 619.44 | 725 |
| 08-Apr-25 | OW | 516.25 | 610 |
| 01-May-25 | OW | 549.00 | 675 |
| 04-Jun-25 | OW | 666.85 | 735 |
| 11-Jul-25 | OW | 727.24 | 795 |
| 31-Jul-25 | OW | 695.21 | 875 |
| 30-Oct-25 | OW | 751.67 | 800 |

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|---|---|---|---|
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